Materials Department Operations Manual

Training Record and Working Procedures for New Employees

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Introduction

This manual explains the work of the Materials Department, processing documents for payment, arranging materials, the flow of incoming goods, physical inventory counts, and receiving and sorting procedures. New employees should use it to understand how the Materials Department works with other departments and to check their daily work.

The basic work of the Materials Department is to negotiate prices and other terms and purchase the items needed. There are two types of procurement: project-specific procurement and replenishment of standard items held as departmental stock. Odoo is used to check purchase orders and incoming goods. At the time of the training, Teams chats were also used for requests between departments and communication about delivery dates.

Key terms

“Project” means the job or project to which the materials belong. “Model” and “model number” identify equipment or parts. “Production classification” distinguishes uses such as cubicles, panels, and installation work, even within the same project.

“QB” means a cubicle-type electrical installation. “Panels” include distribution boards, lighting panels, and power panels. “Receiving” means accepting goods when they arrive. “Sorting” and “allocation” mean separating incoming goods by project, stock category, or department that will use them.

“Customer-supplied items” are items purchased by the customer and supplied to the company. “Surplus items” are items left over because of changes or orders that could not be canceled. The “material cost ratio” is the percentage of the order value represented by material costs.

1 Work of the Materials Department

1-1 Project procurement and stock replenishment

The two main types of procurement are project procurement and stock replenishment. Each department holds stock of items it uses regularly. The people on the shop floor manage this standard stock and ask the Materials Department to arrange replacements when items run out. The Materials Department then arranges the requested replenishment.

Items that are not standard stock are procured separately for each project. The department’s work includes negotiating prices and checking delivery dates as well as purchasing the items needed.

1-2 List of responsibilities

1 Project procurement. Arrange materials and equipment needed for each project.

2 Stock replenishment. Arrange replenishment of standard stock in response to requests from departments.

3 Delivery date checks. Confirm when ordered items will arrive.

4 Negotiations for zinc spraying and with partner companies. Negotiate work outsourced to partner companies, including cubicle base fabrication and wiring. Surface treatments also include galvanizing.

5 Procurement of bases, frames, U-shaped posts, and boxes. Arrange and manage parts made by partner companies, including upper and lower cubicle frames.

6 Processing changes. Arrange the items required when the customer makes a change after an order has been placed. This may involve canceling an existing order and placing a new one. Items that cannot be canceled may remain in stock.

7 Materials requested by Structural Design. Electrical Design issues project material requests and changes, while Structural Design also requests special materials. These include flexible terminals, special bolts, special glass, and structural steel.

8 Tool repairs. Handle requests to repair tools and equipment used in the company. Obtain quotations and place orders when new items are to be purchased.

9 ISO. Carry out the responsibilities and controls assigned to each operation. Detailed explanation of ISO was omitted in the training.

10 Copper busbar procurement and management. Arrange and manage copper busbars.

11 Steel sheet procurement and management. Arrange and manage steel sheets.

12 Paint procurement and management. Arrange and manage paint. Copper busbars, steel sheets, and paint are managed with particular attention to their high purchase value.

13 ZAM angle procurement and management. Arrange and manage ZAM angles.

14 Home appliance orders. The Materials Department may also be involved when the company purchases appliances for employee accommodation.

15 Industrial waste disposal management. Manage matters relating to industrial waste disposal.

16 Paint plant treatment management. Manage treatment of materials generated by the paint plant and wastewater treatment.

17 Scrap disposal management. Handle and manage scrap disposal.

18 Other building management. Handle other building-related management duties.

19 Negotiations for the affiliated lighting company. When the affiliated company has a matter it cannot resolve or needs help with, the company’s Materials Department provides support.

20 Receiving and allocating materials. Accept incoming goods, identify their project or stock destination, and allocate them accordingly.

21 Materials stock management and ordering. Manage and order the stock handled by the Materials Department.

22 Processing project documents. Check that the details and amounts for incoming goods are correct. This processing is connected with payment.

23 Processing QB stock documents. Check details and amounts and process documents relating to cubicle stock.

24 Updating project lists. Mark off items on the lists for each project.

25 Outstanding receipt lists. At the time of the training, a separate list was not being prepared because this information could be viewed on a computer.

26 Recording customer-supplied item details. Record details and report them to the relevant departments to retain a history of checks on customer-supplied items.

27 Entering and managing the surplus item list. List surplus items and manage them so they can be reused for new projects.

28 Tanomail orders. Place orders using Tanomail. Detailed explanation was omitted in the training because this relates to stock ordering.

29 Reconciling and totaling purchase order records and supplier delivery notes. Enter order information, process documents, and total monthly purchases. This also includes purchases for the affiliated company.

30 Organizing delivery notes. Organize delivery notes, including those for the affiliated company. This includes goods purchased in the company's name and then passed to the affiliated company.

1-3 Managing customer-supplied items

For cubicles, customer-supplied items may include transformers, reactors, and capacitors. The company does not purchase these items. The customer purchases and supplies them for installation in the cubicle.

Customer-supplied items are subject to controls under ISO, so a history of the checks performed must be retained. Record the item details and report them to the relevant departments.

1-4 Managing surplus items

Items made unnecessary by changes, or items that could not be canceled, become surplus. Manage these items in a list and reuse them when a new project requires the same items. Reusing usable items on other projects also contributes to profit.

When surplus items have been held for a long time, check their age using the manufacturing-year label or similar markings. The training described a three-year manufacturing-age limit as the guideline for high-voltage equipment: for goods shipped during 2026, equipment manufactured in 2023 could still be used. The explanation was that older items would generally not be used and would be disposed of.

For low-voltage equipment, the training stated that the same age limit did not apply. These periods describe the practice explained during the training. Before reusing an individual item, confirm the applicable conditions for that equipment with the responsible person.

2 Questions and answers on materials and partner companies

2-1 What materials are used for frames and boxes

The materials depend on the project. Frames use structural steel such as angles and channels, and galvanized materials may be used. For a SUS stainless steel project, the angles and channels are also stainless steel. The explanation was that sheet materials are generally bonderized steel sheets or SUS stainless steel.

For indoor bases, galvanized structural steel is used and then painted. For outdoor bases, the explanation was that the base is fabricated from black-skin steel and then hot-dip galvanized by a subcontractor.

“Black skin” refers to the dark scale on the steel surface. In the training, this was described as steel that had not yet undergone surface treatment. The process explained was to remove the scale before applying galvanizing.

2-2 What happens if materials will not arrive by the project delivery date

The project delivery date is fixed, but missing items may sometimes be sent later. In such cases, staff in locations such as Tokyo or Osaka may install them. Ultimately, the necessary items must be in place before energization, meaning before electricity is applied.

There are various ways of responding, including borrowing items from other projects. The speaker explained that they did not recall a case in which the necessary items had failed to be ready for energization, and that the response depends on the circumstances.

2-3 How is the quality of items made by partner companies checked

Items returned from partner companies are, as a rule, all inspected in-house. They are not shipped directly from the partner company to the customer. Quality is controlled internally through checks during wiring and final inspection.

3 Payment and document processing

3-1 Provisional and final delivery documents

There are provisional and final delivery documents. A final document is the formal document showing the amount. A provisional document does not show the amount and is supplied by the manufacturer so the delivered items can be checked.

Goods may arrive with a provisional document or with the final document from the start. If a provisional document is received, the corresponding final document must be obtained later.

3-2 Closing date and conditions for inclusion in payment processing

The monthly closing date for purchase payment processing is the 20th. The training explained that the current processing period covers goods received from the 21st of the previous month through the 20th of the current month, with document dates no later than the 20th and final documents received by the 22nd. Items notified by fax were also described as included.

For example, for goods received from September 21 through October 20, check both the document date and the date the document arrived. Process the documents in accordance with these conditions. The 20th is the closing date and should be distinguished from the actual payment date.

3-3 Points to note when specifying arrival dates

Whenever possible, specify arrival by the 18th and avoid arrivals on the 19th and 20th. This allows document processing to proceed promptly, including when delivery documents arrive late. If the schedule is tight, goods may still arrive on the 19th or 20th. The practice is to avoid these dates where possible, while giving priority to the required delivery schedule.

Because documents dated through the 20th are included in the current closing period, avoid arranging shipment on the 20th for arrival on the 21st or 22nd wherever possible. If an item is not urgent, the manufacturer may be asked to ship on the 21st, taking the day of the week into account.

The example in the training material shows arrivals on the 18th, no arrivals from the 19th through the 21st, some arrivals on the 22nd, and arrivals on the 23rd. This pattern may change because of Sundays, public holidays, or similar scheduling factors.

3-4 New suppliers and payment terms

Ask new suppliers to complete the supplier registration form.

The conditions written in the training material are a monthly closing date of the 20th, with payment on the 10th or 15th of the following month. For amounts below JPY 300,000, the material specifies bank transfer or collection on the 15th of the following month. For amounts of JPY 300,000 or more, it specifies a promissory note on the 10th of the following month, with a term of four months and 15 days calculated from the first day of the payment month.

However, the training explained that the payment method for amounts of JPY 300,000 or more might have changed from the former promissory note arrangement, and that the current method and terms needed to be confirmed with Accounting. The promissory note terms above are from the older material. When advising a supplier of current payment terms, use terms confirmed by Accounting.

4 Arranging materials

4-1 Project procurement process

First, Sales decides which manufacturers to use when the order is received. Design then prepares the drawings, and the material list is issued after customer approval. As a rule, procurement is arranged after customer approval has been obtained.

After the list is issued, request quotations from manufacturers or their agents and negotiate prices. Then compile the material cost ratio calculations and place the orders after approval by the Sales representative and the President. During the training, “Vice President” in the material was corrected to “President” for the current process.

For items with long lead times, Design, Sales, and Materials may coordinate advance procurement before customer approval. The training explained that supply difficulties sometimes require a decision to place orders early.

For advance procurement, consider the risk that an unused item could remain in stock for a long time and eventually have to be disposed of. Assess whether an item could be reused on another project if it is not needed, and avoid unnecessary risk wherever possible.

The training material states that procurement arrangements should be completed at least 42 days before the delivery date. Set the specified arrival date with attention to the cubicle delivery schedule, the start of shop-floor work, and the closing date on the 20th.

4-2 Checking the material cost ratio

The material cost ratio is the proportion of the order value represented by material costs. When arranging procurement, compare the ratio estimated by Sales at the time of order acceptance with the ratio at the time of actual procurement, then check and report the result.

The content of a project may change substantially between Sales accepting the order and Design completing the drawings. For example, if the material cost ratio was 50% at order acceptance but is 60% when Materials places the orders, check why it has increased.

If the increase is caused by additional specifications or quantities, such as added wattmeters, Sales may be asked to seek additional payment from the customer. A lower material cost ratio helps secure profit from the material cost side. Negotiating lower prices is therefore an important part of the Materials Department's work.

4-3 Stock replenishment and communication between departments

At the time of the training, Teams chats were used for stock matters involving Wiring, Manufacturing, and the office or Design. The person responsible for stock in each department sends requests to Materials. Order and delivery date information is also communicated and checked in the chat.

Orders are placed in Odoo, while stock quantities are still mainly managed by the people responsible on the shop floor. The training included discussion of moving stock management from Excel to Odoo.

Possible future developments discussed included low-stock flags or alerts, barcode-based management, and automatic ordering. These were described as future ideas rather than established current working procedures.

4-4 Inquiries from manufacturers

Manufacturers generally contact the Materials staff member who placed the order because they do not know which individual in Design requested it. Since Materials receives the request from Design and places the order, Materials also serves as the contact point for inquiries.

For complex specifications or matters that Materials cannot clarify alone, Design and the manufacturer may discuss the matter directly. Such specification discussions are uncommon for standard stock because most of those items have been purchased repeatedly.

5 Flow of incoming goods

5-1 Project materials

When the carrier brings the goods, confirm that they are addressed to the company, where they came from, and the number of packages, then receive them. Next, use Odoo to identify the project, what was ordered, and the model and quantity.

Check the contents again against the list issued by Design. Separate the goods by project, label them with the project name, place them on a trolley, and hold them temporarily in the materials storage area. The training identified 6S as the main storage location.

When Wiring requests materials for a particular project, hand them over. The sequence is: carrier delivery, receipt, project identification in Odoo, content check against the list, storage in the materials storage area, and handover to Wiring.

5-2 Materials for projects already in wiring work

For a project already handed over to Wiring, changed items or items that were not yet available may arrive later. Receipt, project identification in Odoo, and checking against the list follow the same process.

Because wiring work has already started, hand the checked goods directly to Wiring. Also report the arrival in the Teams chat for materials for projects in wiring work, so everyone concerned knows the items have arrived.

5-3 Stock items

For stock items, receipt and checking in Odoo are the same. Then check the request details in the Teams chat and hand the items directly to the person responsible for stock. The training explained that the former stock cards were no longer in use and had been replaced by chat communication.

5-4 Exceptions for large materials and customer-supplied items

Large materials such as steel sheets may be unloaded directly at the work area because they cannot be unloaded in the usual materials storage area. Large customer-supplied transformers may also be unloaded at other locations, such as 4S, 3S, or 2S.

Even when the unloading location differs, carry out the same checks on the incoming goods.

6 Physical inventory counts

6-1 Purpose and method

The company’s financial year closes at the end of April. A physical inventory count is carried out once a year to establish all stock quantities for the year-end accounts. Several dates around the end of April were mentioned for the next count during the training. Follow the internal announcement for the actual count rather than treating a particular date as fixed in this manual.

The previous method was for each section to record its stock quantities on paper and submit them to Materials, which compiled the overall results. The training explained that the method for carrying this out in Odoo had not yet been finalized.

6-2 When inventory quantities do not agree

If a quantity recorded during the count differs from the actual quantity, check with the responsible person and investigate the actual amount. For example, a record of 100 for an item that clearly exists only as one unit is noticeable, but a small difference such as a recorded quantity of two when only one exists may not be apparent just by looking.

A discrepancy in a physical inventory count and a discrepancy in the number of packages received from a carrier are different matters. For shortages at delivery, follow the receiving procedure below.

7 Receiving goods and retrieving delivery notes

7-1 Accepting truck deliveries

First, confirm that the delivery is addressed to the company. Cash-on-delivery packages are handled by the office and are not accepted by Materials.

Check that the quantity on the carrier’s waybill agrees with the quantity delivered. At this stage, also check the number of outer packages in the shipment.

Next, check the exterior of the goods. Look for dents, scratches, and damage to cardboard cartons and other packaging. After checking, stamp the receipt and return it to the carrier.

7-2 When packages are missing

For example, if the waybill states five packages but only three have arrived, do not sign a receipt that states all five were received. Speak with the carrier and confirm the status of the remaining two packages.

If the three available packages are accepted, clearly record that only three were received and ask the carrier to deliver the remaining packages. Confirm the actual quantity before accepting the shipment.

7-3 Retrieving the delivery note

Retrieve the delivery note for the incoming goods. Place freight-collect documents and waybills in the box for the office. Distinguish handling a cash-on-delivery package from routing freight-collect paperwork.

Do not open items addressed personally to the President, an adviser, or an individual in General Affairs. Pass them to the intended recipient unopened. Items not ordered by Materials may not appear in an Odoo search.

For items addressed to an individual in Sales or Design, the procedure is to open and check them because they may be customer-supplied items.

7-4 Where to find the delivery note

The delivery note is usually found in one of three places: attached to the outside of the goods, packed inside the goods, or attached to the waybill and handed over by the carrier.

If there is no delivery note, use an available shipping advice or waybill as a substitute. The waybill is the carrier’s transport document, while the delivery note is used to check the contents of the delivery.

8 Checking models and quantities and identifying destinations

8-1 Checking the delivery note against the goods

Check that the model stated on the delivery note agrees with the model of the goods received. Next, check that the quantity stated on the delivery note agrees with the quantity received.

After opening the outer carton, also check the inner boxes for damage and scratches. This check requires comparison of the actual goods with the documents.

8-2 Finding the order number in Odoo

Use the order number on the delivery note to identify the destination in Odoo. An order number is generated automatically when the order is arranged in Odoo. During the training, Materials order numbers were described as beginning with SZ.

Look for the order number in fields such as “Your order number,” “Remarks,” or “Special instructions” on the delivery note.

If the order number is not shown, search for the order using the item name, model, and supplier information. If it cannot be found, check with the person who placed the order or contact the manufacturer.

If a search by item name or model returns many order numbers, use the manufacturer's delivery response and the arrival date specified when ordering to identify the right one. The relevant order must be found to establish which project the goods belong to.

8-3 Checking order details in Odoo

Enter the order number in Odoo and open the relevant order details. The training described checking from the Sales screen. Follow the company's Odoo configuration and the responsible person's guidance for the actual screen to use.

Check that the model and quantity in Odoo agree with the delivery note. Then confirm the project name and production classification for the relevant part. If the line-item remarks contain an abbreviated project name, use that abbreviation.

8-4 Avoiding errors in project names and production classifications

Production classifications include QB, panels, installation work, goods for sale, KX, and stock. The training explained that FK in the older material is now KX.

Even under the same project name, items may be intended for cubicles, panels, installation work, or sale. An item for a panel cannot simply be taken to the cubicle area for use. Check the production classification as well as the project name.

8-5 Writing on the delivery note

Use a mechanical pencil to write the arrival date, project name, and production classification on the delivery note. For example, even for goods intended for the same facility, check and record the details if the production classification is QB and the line-item remarks show an abbreviation identifying the main transformer installation.

For panel items, record the classification clearly as panels. This step establishes the destination before sorting.

Some goods for the affiliated company are purchased in the company's name. Check the relevant order to establish which company name is used for the purchase.

9 Questions and answers on purchase values and material cost ratios

9-1 Which purchases have high values

For individual equipment prices, transformers may be expensive. When looking at project materials and stock as a whole, the training identified steel sheets, paint, and wire as major purchase-value items.

9-2 How much is purchased each month

The training explained that purchases were roughly half of sales, with a recent example at about 60%, somewhat above half. The scale was also illustrated by explaining that half of JPY

1 billion in sales would be JPY 500 million. This was an example from the training, not a fixed monthly purchase amount.

9-3 What material cost ratio is targeted

At the time of the training, the stated target was 45%, while the actual average was approximately 58%. Rising prices and purchasing well in advance were mentioned as reasons. These figures describe the situation explained during the training; in actual work, check the figures for the relevant period and project.

9-4 What to do when questions arise during work

At the end of the training, employees were invited to ask questions as they arose during work, including questions beyond Materials matters. Contact the responsible person, who will answer what they can.